



**Verified Carbon
Standard**

RIBEIRINHO REDD+ PROJECT

Document Prepared by Friends of the Riverine

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1 INTERNAL RISK

Project Management		
Risk Factor	Risk Factor and/or Mitigation Description	Risk Rating
a)	Species planted (where applicable) associated with more than 25% of the stocks on which GHG credits have previously been issued are not native or proven to be adapted to the same or similar agro-ecological zone(s) in which the project is located.	0
b)	Ongoing enforcement to prevent encroachment by outside actors is required to protect more than 50% of stocks on which GHG credits have previously been issued.	0
c)	Management team does not include individuals with significant experience in all skills necessary to successfully undertake all project activities (ie, any area of required experience is not covered by at least one individual with at least 5 years' experience in the area).	0
d)	Management team does not maintain a presence in the country or is located more than a day of travel from the project site, considering all parcels or polygons in the project area.	2
e)	Mitigation: Management team includes individuals with significant experience Management team includes individuals with significant experience in AFOLU project design and implementation, carbon accounting and reporting (eg, individuals who have successfully managed projects through validation, verification and issuance of GHG credits) under the VCS Program or other approved GHG programs.	0
f)	Mitigation: Adaptive management plan in place	-2
Total Project Management (PM) [as applicable, (a + b + c + d + e + f)]		0
Note: When a risk factor does not apply to the project, the score shall be zero for such factor		

Financial Viability		
Risk Factor	Risk Factor and/or Mitigation Description	Risk Rating
a)	Project cash flow breakeven point is greater than 10 years from the current risk assessment.	N.A
b)	Project Cash flow breakeven period is between 7 and 10 years from the current risk assessment.	N.A
c)	Project Cash flow breakeven period is between 4 and 7 years from the current risk assessment.	1
d)	Project Cash flow breakeven period is less than 4 years from the current risk assessment.	N.A
e)	Project has secured less than 15% of funding needed to cover the total cash out before the project reaches breakeven	N.A
f)	Project has secured 15% to 40% of funding needed to cover the total cash out before the project reaches breakeven	N.A
g)	Project has secured 40% and less than 80% of funding needed to cover the total cash out before the project reaches breakeven	1
h)	Project has secured 80% of funding needed to cover the total cash out before the project reaches breakeven	0
i)	The project has a Credit and callable financial resources of 50% of the necessary needs.	0
Total Financial Viability (FV) [as applicable, ((a, b, c or d) + (e, f, g or h) + i)]		2

Opportunity Cost		
Risk Factor	Risk Factor and/or Mitigation Description	Risk Rating
a)	NPV from the most profitable alternative land use activity is expected to be at least 100% more than that associated with the project activities; or where baseline activities are subsistence-driven, net positive community impacts are not demonstrated.	8
b)	NPV from the most profitable alternative land use activity is expected to be at 50% to 100% more than that associated with the project activities	N.A
c)	NPV from the most profitable alternative land use activity is expected to be at least 20% to 50% more than that associated with the project activities	N.A
d)	NPV from the most profitable alternative land use activity is expected to be at 20% more than and up to 20% less than from project activities; or where baseline activities are subsistence-driven, net positive community impacts are demonstrated.	N.A
e)	NPV from project activities is expected to be between 20% and up to 50% more profitable than the most profitable alternative land use activity.	N.A
f)	NPV from project activities is expected to be at least 50% more profitable than the most profitable alternative land use activity.	N.A
g)	Mitigation: Project Proponent is a non-profit organization The proponent is not a non-profit.	N.A
h)	Mitigation: Project is protected by legally binding commitment (see section 2.2.4) to continue management practices that protect the credited carbon stocks over the length of the project crediting period.	0
i)	Mitigation: Project is protected by legally binding commitment to continue management practices that protect the credited carbon stocks over at least 100 years (see project longevity)	-8
Total Opportunity Cost (OC) [as applicable, (a, b, c, d, e or f) + (g + h or i)] Total may be less than 0.		0

Project Longevity		
a)	Without legal agreement or requirement to continue the management practice	N.A
b)	With legal agreement or requirement to continue the management Practice	0
Total Project Longevity (PL) May not be less than zero		0

Internal Risk	
Total Internal Risk (PM + FV + OC + PL) Total may not be less than zero.	0

2 EXTERNAL RISKS

Land Tenure and Resource Access/Impacts		
Risk Factor	Risk Factor and/or Mitigation Description	Risk Rating
a)	Ownership and resources access/use rights are held by same entity(s)	0
b)	Ownership and resource access/use rights are held by different entity(s) (eg, land is government owned and the project proponent holds a lease or concession)	N.A
c)	In more than 5% of the project area, there exists disputes over land tenure or ownership.	0
d)	There exists disputes over access/use rights (or overlapping rights)	0
e)	WRC projects unable to demonstrate that potential upstream and sea impacts that could undermine issued credits in the next 10 years are irrelevant or expected to be insignificant, or that there are is a plan in place to effectively mitigating such impacts.	N.A

f)	Mitigation: Project area is protected by legally binding commitment (eg, a conservation easement or protected area) to continue management practices that protect carbon stocks over the length of the project crediting period.	-2
g)	Mitigation: Where disputes over land tenure, ownership, or access/use rights exist, documented evidence is provided that projects have implemented activities to resolve the disputes or clarify overlapping claims.	N.A
Total Land Tenure (LT) [as applicable, ((a or b) + c + d + e + f + g)] Total may not be less than zero.		0

Community Engagement		
Risk Factor	Risk Factor and/or Mitigation Description	Risk Rating
a)	Less than 50% of the households living within the project area who are reliant on the project area, have been consulted.	0
b)	Less than 20% of the households living within 20 km of the project boundary outside the project area, and who are reliant on the project area, have been consulted.	0
c)	Mitigation: The project generates net positive impacts on the social and economic well-being of the local communities who derive livelihoods from the project area.	0
Total Community Engagement (CE) [where applicable, (a + b + c)] If a=0, b=0 and c=-5; then CE=-5. Total may be less than zero.		0

Political Risk		
Risk Factor	Risk Factor and/or Mitigation Description	Risk Rating
a)	Governance score of less than -0.79.	N.A
b)	Governance score of -0.79 to less than -0.32	N.A
c)	Governance score of -0.32 to less than 0.19.	N.A
d)	Governance score of 0.19 to less than 0.82. Average score of all six indicators for the five most recent years (20012-2018) is -0.44 http://info.worldbank.org/governance/wgi/?fileName=wgidataset_stata.zip	2
e)	Governance score of 0.82 or higher.	N.A
f)	"Mitigation: Country implementing REDD+ Readiness or other activities such as: a) The country is receiving REDD+ Readiness funding from the FCPF, UN-REDD or other bilateral or multilateral donors b) The country is participating in the CCBA/CARE REDD+ Social and Environmental Standards Initiative c) The jurisdiction in which the project is located is participating in the Governors' Climate and Forest Taskforce d) The country has an established national FSC or PEFC standards body e) The country has an established DNA under the CDM and has at least one registered CDM A/R project"	-2
Total Political (PC) [as applicable ((a, b, c, d or e) + f)]		0
Total may not be less than zero.		

External Risk	
Total External Risk (LT + CE + PC)	0
Total may not be less than zero.	

3 NATURAL RISKS

Natural Risk (e.g., Fire, Pest and Disease outbreaks, Extreme Weather)	
Significance	The project is comprised of thousands of dispersed and discrete project areas spread out over thousands of square kilometers. The average project area represents 0.1% of the total carbon stocks. While there is always a possibility that one of the projects areas could be lost to fire, the impact would be de minimis. The fire risk significance is rated as "insignificant (less than 5% loss of carbon stocks)."
Likelihood	The likelihood of a fire is also minimal. First is the fact that the project areas are dispersed and scattered over thousands of square kilometers. As small self-managed project areas located around homes and on farms, an individual area is less likely to be affected by fire than isolated and remote forests. The presence of the landowner means that the fires will be noticed early and have a higher likelihood of being put out before they burn too much of a project area. Many of the project areas are also active farm plots and lack the fuel density to be a fire hazard.
Score (LS)	0.5
Mitigation	The risk of fire is greatly mitigated by the project design: • There are thousands of discrete, small and isolated project areas. • The project areas are widely dispersed over thousands of square kilometers. • The project areas are dispersed in different ecosystems. • Many of the communities live in the project areas and will be able to react early in any fire situation. • Most of the project areas are also used for farming so the overall stem density is often relatively low. • Members are allowed to collect deadwood, prune and thin, reducing fuel loads and lifting the canopy away from the ground.

Score for each natural risk applicable to the project (Determined by $LS \times M$)

Fire (F)	0.5
Pest and Disease Outbreaks (PD)	0

Extreme Weather (W)	1
Geological Risk (G)	0
Other natural risk (ON)	0.25
Total Natural Risk (as applicable, F + PD + W + G + ON)	1.75

4 OVERALL NON-PERMANENCE RISK RATING AND BUFFER DETERMINATION

4.1 Overall Risk Rating

Risk Category	Rating
Internal Risk	0
External Risk	0
Natural Risk	1.75
Overall Risk Rating (a + b + c)	1.75

4.2 Calculation of Total VCUs

The AFOLU Non-Permanence Risk Tool requires a minimum risk rating of 10. The calculation of total tradable VCUs is done by multiplying the risk factor with the calculated net emission reductions as per the excel calculation sheets (refer table 34 and 34 a).